

Meaning of Doctrine Of Ultra Vires

- 'Ultra' means beyond, 'vires' means powers. An action outside the memorandum is ultra vires the company.
- An act is said to be ultra vires when it is performed, though legal in itself, is not authorized by the objects clause of the memorandum of association.
- Such an act is void and cannot be ratified even by unanimous resolution of all the shareholders. Company is not bound by the ultra vires acts or contracts.

Case: Ashbury Railway Carriage & Iron Co. Ltd. Vs., Riche

- A company was incorporated with the following objects:
 - (a) to make, sell, or lend on hire, railway carriages and wagons;
 - (b) to carry on the business of mechanical engineers and general contractors,
 - (c) to purchase, lease, work, and sell mines, minerals, land and buildings.
- The company entered into a contract with **Riche** for the financing of the **construction of a railway line in Belgium**. Later on, directors repudiated the contract on the ground of its being **ultra-vires of the memorandum of the company**. Riche filed a suit in which he demanded damages from the company. According to Riche, the words "**general contractors**" in the objects clause of the company meant any kind of contract. Thus, according to Riche, the company had all the powers and authority to enter and perform such kind of contracts.
- Later, the majority of the shareholders of the company ratified the contract. However, directors of the company still refused to perform the contract as according to them the act was ultra-vires and the shareholders of the company **cannot ratify any ultra-vires act**. The question raised was whether that contract was covered within the meaning of 'general contractors'. The House of Lords stated that contract was not covered within the meaning of 'general contractors' and even if every shareholder of the company would have ratified this act, then also it had been null and void as it was ultra-vires the memorandum of the company.

Purpose Of Doctrine Of Ultra Vires

1. **It protects the interests of shareholders and creditors :** This doctrine assures the creditors and the shareholders of the company that the funds of the company will be utilized only for the purpose specified in the memorandum of the company. Investors of the company can get assured that their money will not be utilized for a purpose which is not specified at the time of investment.
2. **Provides the Boundaries to the Directors:** This doctrine draws a clear line beyond which directors of the company are not authorized to act.

1. Acts which are Ultra Vires to the Companies Act

- Any act or contract which is entered by the company which is ultra-vires the Companies Act, is void-ab-initio, even memorandum or articles of the company authorized it. Such act cannot be ratified in any situation.

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2. Acts which are Ultra Vires to the Memorandum of the Company

- An act is called ultra-vires the memorandum of the company if, it is done beyond the powers provided by the memorandum to the company.
- If a part of the act or contract is ultra vires and part of it is intra vires the memorandum and if both the parts can be separated. Then the ultra-vires part is void, and the intra vires part is a valid contract.
- However, if they cannot be separated then whole contract or act will be considered as ultra-vires and hence, void. Such acts cannot be ratified even by shareholders as they are void-ab-initio.

3. Acts which are Ultra Vires to the Article but Intra Vires to the Memorandum

- All the acts of contracts which are made or done beyond the powers provided by the articles but are within the powers given by the memorandum are called ultra-vires the articles but intra-vires the memorandum. Such acts and contracts can be ratified by the shareholders by making alterations in the articles to that effect.

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4. Acts which are Ultra Vires to the Directors but Intra Vires to the Company

- All the acts or contracts which are made by the directors beyond the powers provided to them are called acts ultra vires the directors but intra vires the company. The company can ratify such acts and then they will be binding.

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Effects/Consequences of Ultra Vires Acts

1. Void ab initio
2. Injunction
3. Breach of Warranty of Authority
4. Personal liability of directors
5. Ultra vires contracts
6. Ultra vires acquired property
7. Ultra vires borrowing
8. Ultra vires torts

1. Void ab initio

- The ultra vires acts are null and void ab initio. These acts are not binding on the company. Neither the company can sue, nor it can be sued for such acts.

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2. Injunction

- When there is a possibility that company has taken or is about to undertake an ultra-vires act, the members can restrain it from doing so by getting an injunction from the court.

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Case: London Country Council v. Attorney General (1902)

- The Council had power to run tramways. It also started running omnibuses. It was held that the running of omnibus was ultra vires and the council was restrained from running the omnibus.

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3. Breach of Warranty of Authority

- When an agent exceeds his authority, he is personally liable for breach of warranty of authority in a suit by the third party.
- The directors of a company are its agents and as such must act within the limits of the company's powers. If they induce, however innocently, an outsider to enter into a contract which is ultra vires the company, they will be personally liable to the third party for his loss.

Case: Weeks v. Propert. (1873)

- A railway company had already exhausted its borrowing powers. The directors of the company invited proposals for a loan on debentures. Mr. Week offered a loan of 500 pounds, which was accepted and debentures were issued.
- The loan being ultra vires was held to be void. It was held that the directors by inserting the advertisement had warranted that they had the power to borrow which in fact they had not. The directors therefore were personally liable for the breach of warranty.

4. Personal liability of directors

- The funds of the company can only be used for authorised objectives. In case if any director makes an unauthorised payment, he will be compelled to refund the money to the company. The director will be personally liable for any loss suffered by the company due to him.

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Case: Sharpe Re (1892)

- The directors of a company paid dividend on shares out of capital. It was an ultra vires act. The company was afterwards wound up. The directors were held liable to refund the money to the company.

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5. Ultra vires contracts

- Any contract by the company officials outside its scope is completely void and it has no legal effect.

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Case: Re Port Canning and Land Investment company (1871)

- A company operated a rice mill beyond its powers. The company sold rice to certain persons who had paid the price. The purchasers had to sell the rice, owing to its inferior quality, at considerable loss. The company promised them to pay for the loss. The company went into liquidation. It was held the purchasers could not sue the company for damages as trading in rice was a transaction ultra vires the company.

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6. Ultra vires acquired property

- If the money has been spent on purchasing ultra vires property, the company will have the secured right over the property. If the property is legally and formally transferred, it will become the asset of the company, even though the company was not entitled to acquire such property.

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Case: National Telephone Co, vs. St. Peter Port Constables, (1900)

- A telephone company put up telephone wires in a certain area. The company had no power in the Memorandum to put up wires there. The defendants cut them down. Held, the company could sue for damage to the wires.

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7. Ultra vires borrowing

- Where a person lends money to a company and the company either has no borrowing powers or has already exceeded them, or the borrowing is for the purpose which is ultra vires, then the contract of loan is void and no action can be brought under it to recover the money lent.

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- Where the company has used the loan to pay of intra vires debts, the lender can take the place of the original creditor and enforce the same rights.
- **For example:** if A lends 10,000 to B Company Ltd. and the loan being ultra vires. A will not be able to recover the loan as such. But if the company has used the money to pay off 5,000 worth of enforceable debts, A may stand in the shoes of the creditor paid off and sue the company as the creditors could have done. A will have an action for 5,000.

8. Ultra vires tort

- A company cannot be liable for any tort(civil wrongs) committed by its officers in connection with the business outside its scope of objectives.
- If officers have performed a activity in the course of which the tort was committed falls within the scope of Memorandum of Association ,then the company will be held liable.

Exceptions to Doctrine of Ultra Vires:

1. If the company has made any **ultra vires lending**, it has the right to **recover the amount** from the borrower.
2. If the company has acquired any property under **ultra vires contract**, the **company's right over such a property** shall still be secured.
3. An act which **ultra vires the articles** but **intra vires the memorandum** of the company, than articles may be altered and included in the acts of the company.
4. An act which is **intra vires the company** but **outside the authority of the directors** may be ratified by the shareholders in proper form.
5. If the act is **intra vires the company** but it is done in an irregular manner, it can be **validated by the consent of the shareholders**.